

3.1

Fiscal policy

Explain:

- Government budget
- Direct, indirect, progressive, proportional and regressive taxation
- Current and capital government expenditure
- Budget surplus, deficit and balanced budget
- Cyclical and structural budget position
- National and government debt
- Discretionary fiscal policy and automatic stabilisers
- Crowding out
- The Laffer curve

Explain and calculate:

- Average and marginal tax rates

Evaluate:

- The effectiveness of using fiscal policy to achieve the government's macroeconomic objectives